

## Risk Analysis for a Corporate

For your bank you are visiting a medium sized corporate to analyze the possible use of derivative instruments for interest rate risk management. Before the visit you take a look at the balance sheet.

| Balance Müller AG                   |    |                               |    |
|-------------------------------------|----|-------------------------------|----|
| Assets                              |    | Liabilities                   |    |
| Fixed Assets                        | 30 |                               |    |
| Financial Position<br>(Fixed Bonds) | 10 | Book Equity                   | 25 |
| Current Assets                      |    | Liabilities                   |    |
| – Stocks on Hand                    | 10 | – Fixed<br>(Maturity 3 years) | 10 |
| – Trade Account<br>Receivables      | 10 | – Floating                    | 30 |
| – Cash on Hand                      | 5  |                               |    |
| Balance Sheet Total                 | 65 | Balance Sheet Total           | 65 |

Please analyze the possible risks and suggest instruments to solve the potential risks.